40% Money set aside by the Centre for expenditure in FY2021-22 not spent as on November 2021

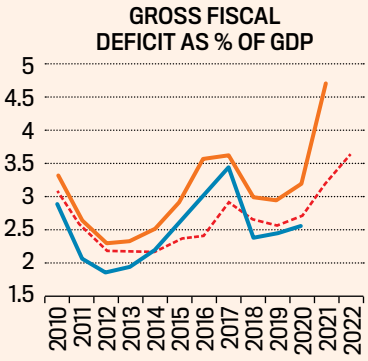
70% of the targeted revenues for 2021-22 (Rs 13.7 lakh crore out of Rs 19.7 lakh crore) achieved by the government

STATE OF ALARM

Capital expenditure and borrowings data show that states have failed to push implementation of projects

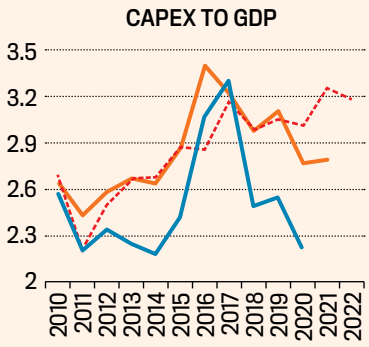
FISCAL DEFICIT

The gross fiscal deficit of states is much below the revised estimates, indicating a slippage in spending



CAPITAL EXPENDITURE

States' capital expenditure has been well under revised as well as budgeted expenditure



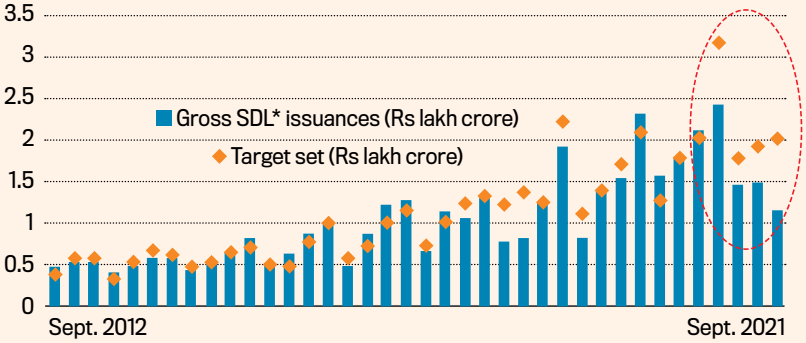
Budgeted — Revised (RE) — Actual (figures in %)



Illustration by TANMOY CHAKRABORTY

BORROWINGS LOSE STEAM

Borrowings by states from the market have missed their target since March 2021, pointing to reduced expenditure



**SDL: State development loans*

Source: RBI, Credit Suisse estimates

rect Taxes and Customs had spent only Rs 5,100 crore from its departmental allocation of around Rs 20,100 crore.

Vinayak Chatterjee, chairman of Feedback Ventures, an infrastructure consultancy firm, estimates that only about 55 per cent of the capital expenditure earmarked by the government has been spent. "By this time of the financial year, the spending should have been about 66 per cent," says Chatterjee. The year has seen two disruptions—first, the second Covid wave, which impacted projects during April-June, and the ongoing third wave caused by the Omicron variant. "The gap in spending can be attributed to the disruptions due to the Covid pandemic. So many workers reported sick, which led to delays in the execution of projects," Chatterjee told INDIA TODAY. CGA data shows that in the pre-pandemic year of 2019-20, most ministries had nearly met their expenditure targets (90 per cent and above) compared to the revised estimates of expenditure announced by them.

THE PANDEMIC HAS UNDERSCORED THE NEED FOR EFFICIENT USE OF GOVERNMENT MACHINERY TO EXTEND RELIEF AND PUSH PROJECTS THAT CAN CREATE JOBS

For FY2021-22, the ministry of health and family welfare had an earmarked expenditure of Rs 73,931.8 crore. Of this, Rs 47,006 crore had been spent till November (about 64 per cent). As on April 2021, the states' share of the total government spending on health was 69 per cent. The Centre primarily transfers funds through the Finance Commission and departmental